October 1971, he placed a full-page advertisement in the *New York Times* proclaiming the creation of an independent Sikh state named Khalistan.

When the Janata Party government was formed in 1977, Chauhan returned to India, but went back to Britain in 1979 before Indira Gandhi's return to power. There he established an organization called Khalistan National Council. In reaction to Operation Blue Star, Chauhan announced a government of Khalistan in exile in London on 13 June 1984. Remarkably, the Rajiv Gandhi government allowed Chauhan to enter India in 1989, hoist the Khalistan flag at Anandpur Sahib, and return to the UK. It was only after his return to the UK that his Indian passport was cancelled on 24 April 1989 by the Indian high commission. Later on the Indian government protested when the same Chauhan was allowed to enter the US using the invalid passport.

In June 2001, the Government of India decided to overlook Chauhan's past activities, softened its stance towards him and allowed him to return to India. On his return, in an interview, Chauhan said he would keep the Khalistan movement alive 'democratically', and claimed that he had always been against violence. He died on 4 April 2007 at his native village Tanda in Punjab's Hoshiarpur district at the age of seventy-eight.

In the 1970s, Canada's Sikh community was in general of the view that Jagjit Singh Chauhan was in the pay of the ISI. His representative in Canada, Kuldip Singh Sodhi, was a bit of an oddball whom the community avoided. But occasionally some would buy the so-called Khalistani passports, postage stamps or currency notes from him out of curiosity. The sphere of his and Chauhan's influence was extremely limited. The western provinces of British Columbia (Vancouver area) and Alberta remained generally immune to such activities. Rather, the Sikhs of British Columbia still fondly remembered the contribution made by some of their elders to the freedom movement of India as members of the Ghadar Party. The Sikhs of Ottawa and Quebec province were busy pursuing their professional and business interests and had no time for divisive activities.